PART 05 · CHAPTER 22

Psychology without market mythology

Design decisions that survive a persuasive story.

Answer edition: includes continuation, worked solutions and the knowledge-check answer.

all levels About 8 min of prose · practice takes additional time

Draft manuscript · source notes below

> THE IDEA TO KEEP
>
> Record beliefs before outcomes arrive, and use process constraints to make changing your mind easier.

By the end of this chapter

- Separate a frozen observation, hypothesis and action from a later outcome story.
- Identify a changed rule or denominator without diagnosing the trader's motive.
- Compare identical price paths at two position sizes.
- Write a counterargument and a prospective test for a proposed revision.

Builds on: Risk & position sizing · From chart idea to trade plan

First pass: write an unfamiliar Q0 decision note

For a fresh fictional stock LARK, the Q0 close supplies only O63.80/H64.70/L63.60/C64.40 and a previously frozen $64 boundary. This is a separate path from the P1 example in earlier chapters; its continuation is hidden. Sector, breadth and executable next-session quotes are absent.

For this paper attempt, L1 begins with $20,000 cash and no positions. The known calendar has no scheduled earnings in Q1–Q10. The $64.90 entry ceiling, $62.60 stop

and $68.60 target are frozen teaching choices. The table states the opening gate, exact order, expiry and exit priority; do not infer a fill from the already completed Q0 close.

Write an observation, a counterargument limited to supplied data, a conditional L1 action and an observation that would weaken the interpretation. Record uncertainty without a numerical win probability. After revealing the continuation, append the outcome and a separate compliance review; keep this note unchanged.

Completed Q0 candle only (fictional USD)

Open	High	Low	Close	Frozen boundary
63.80	64.70	63.60	64.40	64.00

L1: instructions frozen at Q0 (fictional paper study)

Field	Instruction
Opening opportunity	At Q1 09:30 ET, require a supplied opening ask strictly above $62.60 and at or below $64.90. If the gate fails or required quote/calendar/account facts are missing, skip with no Q1 retry.
Entry and expiry	If the gate passes, submit one buy limit at $64.90 for at most 50 shares. It is eligible Q1 09:30–10:30 ET only. Cancel any unfilled remainder at 10:30; do not top up or retry.
Risk and cash	Maximum planned price-risk = 50 × (64.90 − 62.60) = $115. Reserve 50 × 64.90 + $2.50 = $3,247.50 from the $20,000 cash account; no leverage.
Execution record	Use the supplied confirmed execution reports, not a candle touch, to establish entry quantity and price. Keep a confirmed partial fill and resize exits to its shares.
Frozen R and costs	For a long fill, 1R = filled shares × (actual fill − $62.60), excluding costs. Charge $2.50 per executed side; no fill means no fee or position R.
Standing exits	After entry, stop-market trigger $62.60; target sell limit $68.60. For prior holdings, opening stop/target gap has priority; otherwise stop before target if both occur in one daily bar. Intraday target credit requires a trade strictly above $68.60. Use supplied exit reports here.

Field	Instruction
Time and exceptions	Scheduled time exit Q10 close if entry is Q1 (entry session counts as 1). A halt cannot produce a fill: retain the position/stale mark. After an overdue deadline, opening gap checks come first; otherwise exit at the first resumed open. Unknown order status requires reconciliation before new orders.
Interpretation and orders	A completed close below $64 weakens continuation but does not replace the standing exits. Keep the original note; any different exit or size policy is a future L2 proposal.

Compare the continuation with your frozen note. This reference includes outcome headings, complete ledgers and solutions. In the learner print edition it starts on a new page after the cutoff packet.

The problem is judgment under uncertainty

Technical analysis involves looking for structure in noisy observations. That makes it easy to mistake an explanation that feels coherent for an explanation that has earned confidence. You can describe a chart eloquently while leaving its predictive claim untested. Good psychological practice begins by accepting that an uncertain decision can produce either outcome.

Maya's BRDG-P1 trade connects this chapter with the completed plan. The initial interpretation was continuation beyond $50; the supplied path is revealed after the cutoff attempt. The same note could instead precede a rally. The exercise is to preserve what she knew, then grade what she did, with the outcome recorded in its own field. The figures and counterfactuals are fictional, constructed to make the comparison inspectable.

A price is not a personal obligation

The disposition effect describes a tendency to realize gains more readily than losses. The SEC-hosted Library of Congress investor-behavior review discusses this among several potentially harmful investing behaviors. This is a description of observed tendencies, not a diagnosis of every trader or proof about the motive behind a particular trade.

Maya buys at $40 and plans an exit if her specific hypothesis fails near $38. Price reaches $37.80. She changes the rationale to "I will wait until it gets back to $40." Her purchase price has become a psychological reference point even though it does not oblige future buyers to transact there. The key process failure is the unrecorded change in hypothesis. A fresh long-term investment thesis could be evaluated separately, but silently converting a short trade into that thesis prevents a fair assessment of either decision.

Confirmation becomes an editing habit

Suppose Maya believes a breakout is forming. She notices a rising moving average and ignores weak sector performance. Then she searches only for commentary supporting the rally. Each supporting observation may be real; the problem is that the selection rule favors her initial conclusion. Adding more agreeable indicators can create an appearance of corroboration without adding independent information.

Try a concrete counterargument exercise. Before committing, write the strongest observable reason the trade might fail. For BRDG this could be a prior breakout that quickly reentered the range, an upcoming event, or an entry price already far from the planned invalidation. Next specify what new observation would change the decision. This exercise is a proposed discipline, not a proven treatment with a guaranteed return benefit. Its usefulness comes from exposing the criteria you are actually using.

Outcome bias and hindsight work together

A rule violation followed by profit can look brilliant in the journal. A careful decision followed by loss can look foolish. This is outcome-based grading. It becomes more misleading when hindsight changes the remembered difficulty of the original decision. After a rally, yesterday's ambiguity can feel like an obvious opportunity; after a decline, the same setup can feel obviously defective.

Freeze a short note and screenshot at the decision time, showing only information then available. Record an estimated scenario range rather than a single confident target. After the outcome, compare that frozen view with the narrative you now feel tempted to tell. If your original note considered both breakout and failure, keep both visible. Do not rewrite uncertainty as certainty merely because the next ten bars resolved it. A loss can teach something without proving that the initial choice was irrational.

Read one frozen note against its continuation

The table is Maya’s actual completed note in the fictional paper exercise, recorded after S0 and before S1. It does not claim three independent reasons to buy. The completed close crosses the boundary; the upper shadow supplies a concrete counterobservation. These are both derived from the same candle, so counting them as statistically independent evidence would be a mistake. The record also says which context data were not supplied, rather than filling that field with an agreeable story.

Hide the continuation and ask what this note licenses. It licenses applying P1 at the next opening opportunity. It does not license buying at the already completed S0 close, increasing quantity after a losing week, or widening the stop because the word “retest” sounds reassuring. It explicitly allows the continuation hypothesis to weaken before the operational stop executes. Keeping those two conditions distinct makes it possible to evaluate both the interpretation and the exit rule.

Now reveal the appended record. At S2, the $49.60 close is back below the range edge; at S3, the supplied stop model produces −$105 net. Maya may feel she should have “known” the

breakout would fail. Compare that impression with the unchanged S0 note. It recognized both possibilities and supplied no probability. The correct update is that this continuation failed. A statement that the original outcome was obvious would add certainty that the original record did not contain.

There is a reasonable alternative editorial reading: the S0 upper shadow is not compelling counterevidence and may deserve little weight. Another analyst might focus on a prior failure or sector weakness if those data were supplied. The rubric asks for an observable counterargument and a clear limit on the inference, not agreement with Maya's chosen weighting. Both readers must distinguish a new interpretation from changing P1's written orders.

The same process can record a winning violation. Suppose Maya bought 200 rather than 50 shares at $50.60 without revising the risk authorization, and this time the path reached $54.60. Price gain would be $800 instead of $200; under the plan's flat $5 cost assumption the net figures would be $795 and $195. That modeled fee convention is kept constant for this counterfactual, while actual liquidity might make such proportional fills unrealistic. Profit scales with quantity on the same path; policy adherence does not become better because the sign is positive.

Frozen decision note: BRDG-P1, S0 after the completed close

Field	Original note (retained after S3)
Observation for	S0 C50.40 is above the previously frozen $50.00 range edge.
Observation against	S0 H50.70/C50.40 leaves a $0.30 upper shadow: the close is not the high. No breadth/sector series is supplied, so no corroboration is claimed.
Interpretation	Continuation is possible; reentry into the old range is also possible. The pattern supplies no numerical win probability.
Action	Apply P1 opening gate and first-hour limit; at most 50 shares. Fixed stop 48.60/target 54.60; worst entry price-risk budget $115.
What would change my view	A completed close below $50 weakens continuation. P1 operational exit still uses the stop, not that close; change requires a new version.
Expected record	Keep entry/expiry facts, filled-share 1R, fees and alternative paths. Missing quote/calendar/account: skip.

After the reveal: append, do not overwrite

Cutoff	New information	Process / interpretation record
S1 09:31	50 simulated shares filled at $50.60	P1 gate passed; 1R freezes $100; cost $2.50.
S2 close	Close $49.60 is below $50	Continuation weakened as anticipated; no stop yet. No retroactive close-exit rule.
S3 stop model	Exit $48.60; gross −$100, costs $5, net −$105	P1 complied; net −1.05R. Hypothesis failed on this path; no general strategy conclusion.
Review after S3	Temptation: "The upper shadow made failure obvious."	Original note allowed failure but predicted no probability. Keep the note; propose P2 close-exit research without changing P1.

FICTIONAL TEACHING ILLUSTRATION

The note stays frozen as facts arrive

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Fictional BRDG-P1 record. The outcome and the temptation to rewrite it are appended beside the original note, not substituted for it.

View the illustration's data

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Make pressure smaller and decisions slower

Imagine that Maya doubles her normal position after three losses because she wants to recover the week immediately. The next trade may still meet her chart criteria, but its size now responds to a financial and emotional deadline rather than the documented risk policy. It is useful to separate the signal decision from the exposure decision: a qualifying signal does not authorize any share count she happens to want.

Possible constraints include a maximum aggregate exposure, a waiting period before discretionary rule changes, and a pause in new entries when she cannot explain the plan calmly. These are examples to evaluate, not universal psychological prescriptions. A smaller paper exercise may reveal whether the process is understandable without the urgency of money. If repeatedly monitoring positions disrupts sleep or necessary work, that information belongs in the decision about whether this activity fits her life.

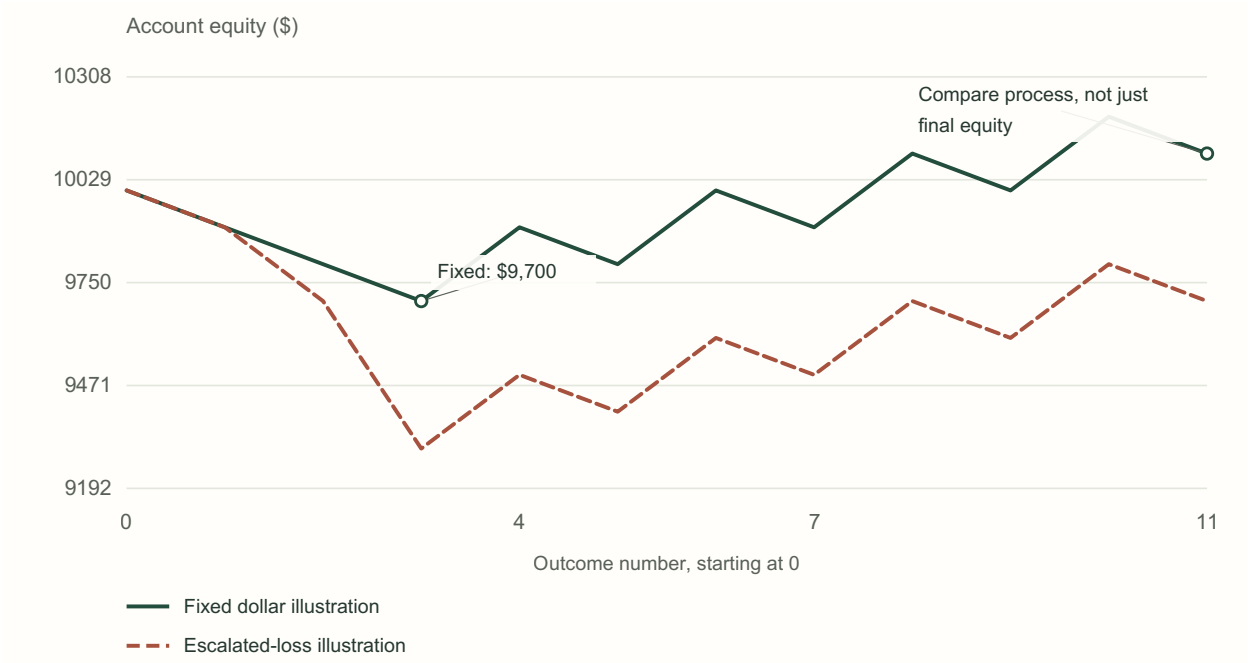
Calibration is more useful than bravado

A forecast is calibrated when events assigned similar probabilities occur at comparable frequencies over many relevant observations. If Maya labels ten scenarios "70% likely" and six occur, one small group is insufficient to declare her well or poorly calibrated. She needs a larger record, consistent event definitions, and awareness that market conditions can change. Even a well-calibrated forecast may offer no worthwhile trade after costs.

The separate escalation illustration isolates another question: what happens to account damage when only the first three loss quantities grow? The ordinary sequence loses $100 three times; the escalation sequence loses $100, $200 and $400. Both then use the same subsequent dollar changes. The difference is $400 after the third loss and stays $400; the later recoveries are held equal. It is a sizing arithmetic demonstration, not an estimate of how often revenge trading occurs. A prospective process record can reveal escalation without claiming to read the trader's motive.

FICTIONAL TEACHING ILLUSTRATION

Escalation changes the recovery problem



Fictional account paths in dollars. Both start at $10,000. The disciplined path uses −$100, −$100, −$100, +$200, −$100, +$200, −$100, +$200, −$100, +$200, −$100; the escalated path changes loss sizes after early losses. No frequencies or predictive claims are implied. Compare the third-loss annotation: the same early losing direction has a different dollar consequence because the escalated path doubles and then doubles its loss exposure.

View the illustration's data

Escalation changes the recovery problem

Outcome number, starting at 0	Fixed dollar illustration	Escalated-loss illustration
0	10000	10000
1	9900	9900

Outcome number, starting at 0	Fixed dollar illustration	Escalated-loss illustration
2	9800	9700
3	9700	9300
4	9900	9500
5	9800	9400
6	10000	9600
7	9900	9500
8	10100	9700
9	10000	9600
10	10200	9800
11	10100	9700

Reconcile the unfamiliar cutoff note

One defensible Q0 note is: “The completed $64.40 close is above the frozen $64 boundary; its $0.30 upper shadow is a counterobservation from the same candle, not independent sector evidence. Apply L1 only if the opening quote and fill conditions pass. A completed close below $64 would weaken continuation without rewriting the standing exits.” Another supplied observation may receive different weight; the rubric rewards a timestamp and bounded inference.

The fictional reveal supplies a Q1 09:30 ET opening ask of $64.60, above $62.60 and no higher than $64.90. A confirmed paper execution report then fills all 50 shares at $64.60 at 09:31, within the $64.90 limit and first-hour window; no remainder is left. The Q2 close is $63.60 and the supplied position report confirms that no standing exit has executed. At Q3, the supplied stop execution report closes the 50 shares at $62.60, with no earlier target or gap exit. These reports are scenario inputs, not facts inferred from daily closes. Filled price-risk is 50 × (64.60 − 62.60) = $100; gross result −$100, fees $5 and net −$105/−1.05R. Cash falls by $3,232.50 at entry and receives $3,127.50 at exit, ending at $19,895. The weakening observation appeared before the modeled exit. Keep the original note unchanged, record a compliant loss separately from the failed continuation hypothesis, and propose any new close-exit rule only for future evaluation.

The BRDG-P1 note earlier in this reference is a shared worked rehearsal whose outcome readers may already know from Chapter 21. Reconstructing it cannot demonstrate a fresh

prospective decision. The unfamiliar Q0 packet is the chapter's attempt-first exercise; neither a model-generated note nor this constructed continuation validates a psychological intervention.

Observation does not prove an intervention

Barber and Odean's brokerage sample connects turnover with net performance after trading costs. It does not assign people to journal, pause or counterargument exercises. The process proposals in this chapter aim to make decisions inspectable; this edition supplies no experiment showing that they improve returns.

A WORKED EXAMPLE

The lucky violation

The same fictional winning path earns +2 times initial price risk before costs. At the documented $100 risk size it would earn $200. Maya instead quadruples quantity and risks $400 without a recorded reason, earning $800 on that same path. Assume proportional fills and omit costs for this comparison. The gain is real in the scenario; it supplies no evidence that breaking the documented sizing policy was a sound decision. Grade policy adherence and outcome in separate fields.

Pause & try it

For rehearsal, reconstruct a four-field S0 note from O49.90/H50.70/L49.70/C50.40 and the $50 boundary, then reconcile the already explained P1 continuation (S2 C49.60 and the S3 modeled stop). Keep observation, counterargument, conditional action and weakening condition separate. Because the shared P1 outcome has appeared in Chapter 21 and this chapter, this reconstruction is not a prospective learning test; attempt the unfamiliar LARK cutoff packet first.

One defensible note: "C50.40 is above the prior $50 edge. The close is $0.30 below its high; this one candle does not show independent sector support. Apply P1 only if the next opening gate and account checks pass. A completed close below $50 weakens continuation; P1 still exits via its declared stop/target/time rules." Other observable counterarguments are acceptable if supplied before the outcome.

Afterward: S2 close 49.60 meets the named weakening observation; S3 modeled stop yields –$105/–1.05R. Grade P1 compliance separately from loss. Keep the S0 note unchanged. Full credit requires no use of S1–S3 data in the initial note and no invented probability.

GUIDED PRACTICE

Hold the winning path constant

The documented position carries $100 price risk and its winning path earns +2R gross. A violation quadruples the shares. Calculate both gross results and both net results under a fixed $5 modeled round-trip fee.

Documented: $200 gross/$195 net. Quadrupled: $800 gross/$795 net. Own frozen R denominators are $100 and $400, so net R is +1.95 and +1.9875. Different fee fractions explain the difference; neither establishes that the violation was justified.

INDEPENDENT PRACTICE

Write a useful revision hypothesis

After the loss, Maya writes "I should always exit a failed breakout early." Turn this into a prospective rule proposal and explain which data remain development data.

One proposal: P2 exits at the next feasible opening price after any completed close below the original boundary, unless the standing stop/target has already exited. Declare whether a close-exit request replaces or supplements standing orders. Compare P2 with P1 on later opportunities, including rebounds after reentry.

The BRDG loss motivated the proposal and remains development evidence. It is not a fresh test of P2. The rubric rewards a timestamp, price field, order priority and prospective comparator; no particular threshold is required.

CHECK YOUR UNDERSTANDING

One question before you go

After S2 closes below $50, Maya labels the original P1 trade “noncompliant” because it did not exit at that close. Which review is defensible?

A. Compliant so far: P1 used a fixed stop, and a close-based exit would be a new version.

B. Noncompliant: the hypothesis weakened, so the plan necessarily required a closing exit.

C. Compliant only if the eventual outcome is positive.

Answer: A. P1 did not define a close-below-$50 exit. Append the concern, preserve P1, and record P2 separately.

Sources & further reading

- SEC · Library of Congress Report: Behavioral Patterns of U.S. Investors ↗
  Overview of investor-behavior research and disposition effect. Proposed decision-recording practices are instructional suggestions, not proven psychological interventions. Access recorded 2026-10-01.
- Barber & Odean (2000), Trading Is Hazardous to Your Wealth ↗
  Household turnover and net performance, observed brokerage sample rather than a randomized psychology intervention. Access recorded 2026-10-01.

Teaching examples are fictional unless labelled historical. Inspect this chapter’s evidence. Sources support the specified concepts; they do not validate a profitable trading strategy.

A journal that can teach you something ↗ Risk & position sizing ↗

Statistics for a skeptical chart reader ↗

Practice & review this part →